

The Complete Guide to Stock Market Trading (in \$)

1. What is the Stock Market?

The stock market is a global marketplace where shares of publicly listed companies are traded.

Shares (Stocks): A piece of ownership in a company.

Example: Apple (AAPL) has billions of shares. If you buy 100 shares at \$150, you own \$15,000 worth of Apple stock.

Exchanges: Organized platforms where trading happens (NYSE, NASDAQ).

2. Why Do Companies Issue Shares?

Companies raise capital for growth. They can borrow, raise private funding, or issue shares (IPO).

Example: Facebook IPO in 2012 at \$38/share → today Meta trades above \$400.

Benefits: Capital gains (buy \$100, sell \$150 = \$50 profit per share) + Dividends (e.g., Coca-Cola).

3. Participants in the Market

- Retail Investors: Individuals using brokers like Robinhood, Fidelity.
- Institutional Investors: Hedge funds, pension funds.
- Foreign Investors: Global funds.
- Brokers: Platforms connecting you to exchanges.
- Market Makers: Provide liquidity.

4. Types of Stock Market

- Primary Market: New stock issues (e.g., Airbnb IPO in 2020).
- Secondary Market: Daily stock trading post-IPO (e.g., Tesla on NASDAQ).

5. Types of Trading

- Delivery Trading: Long-term investment (Amazon \$10 in 1997 → \$3000+).
- Intraday Trading: Buy/sell same day (Tesla \$250 → \$255).
- Swing Trading: Hold for days/weeks (Netflix \$400 → \$450).
- Futures & Options: Contracts, not shares (Apple call option at \$150).
- Algo Trading: Automated strategies.

6. How to Start Trading

- Open a Brokerage Account (Robinhood, TD Ameritrade).
- Fund your account.
- Place first trade.
- Stocks are stored electronically.

7. Types of Orders

- Market Order: Immediate execution.
- Limit Order: Set desired price.
- Stop-Loss: Auto-sell below set price.
- Bracket/Cover Orders: Entry, target, stop-loss.

8. Key Terms

- Index: S&P; 500, Dow Jones, NASDAQ.
- Bull Market: Rising market.
- Bear Market: Falling market.
- Volume: Number of shares traded.
- Liquidity: Ease of buying/selling.

9. Analysis Methods

- Fundamental Analysis: Company value (Revenue, P/E, EPS).
- Technical Analysis: Charts, patterns, indicators (RSI, MACD, Moving Averages).

10. Risks

- Market Risk: Price crashes.
- Liquidity Risk: Hard to sell.
- Systemic Risk: Global shocks.
- Emotional Risk: Fear and greed.

11. Advantages

- Wealth creation.
- Liquidity.
- Inflation protection.
- Ownership in top firms.

12. Traditional vs Modern Approach

- Traditional: Buy & hold (Coca-Cola, J&J;).
- Modern: Day trading, options, global diversification.

13. Learning & Practice

- Paper Trading (TradingView).
- Market News (Bloomberg, CNBC).
- Learn from Buffett, Lynch, Dalio.

14. Example of Trade

Buy 100 Tesla shares at \$250.

If price rises to \$300 → Profit \$5,000.

If falls to \$200 → Loss \$5,000.

Stop-loss at \$240 → Loss capped at \$1,000.

15. Golden Rules

- Never invest what you can't lose.
- Always use stop-loss.
- Do your own research.
- Control emotions.
- Start small, scale up.

Closing Thought

The stock market is not gambling—it is discipline + patience + research. Balance traditional investing with modern trading tools for success.

Stock	Current / Last Close Price*	Change vs Yesterday	Key Notes This Week
GOOGL (Alphabet)	~ US\$239.17	Slight negative (~ -0.2% from prior close)	Up ~10-15% in the week after favorable antitrust ruling. (The Times of India)
IBM	~ US\$256.88 (Investing.com)	Down a little from prior close	Moderate volatility. Not as large news-driven moves this week. (Investing.com)
MSFT (Microsoft)	~ US\$500.37	Slight positive movement vs prior close	Holding up well, part of the general tech/AI optimism.
ORCL (Oracle)	~ US\$328.33	Big jump (~ +36-43% in one day) (markets.businessinsider.com)	A massive move driven by AI cloud infrastructure deals, especially big contracts (like with OpenAI), and strong guidance in Oracle's earnings / backlog (RPO) reports. (Reuters)

GOOGL DATA(Alphabet Inc Class A)

Date	Open	High	Low	Close
Sep 10, 2025	~ US\$239.25	~ 242.08	~ 238.11	~ 239.56 (StockAnalysis)
Sep 9, 2025	~ US\$234.19	~ 240.59	~ 233.38	~ 239.94 (StockAnalysis)
Sep 8, 2025	~ US\$235.79	~ 238.40	~ 233.73	~ 234.16 (StockAnalysis)
Sep 5, 2025	~ US\$232.66	~ 236.13	~ 232.38	~ 235.17 (StockAnalysis)
Sep 4, 2025	~ US\$230.16	~ 232.77	~ 226.76	~ 232.66 (StockAnalysis)

MSFT DATA(Microsoft Corporation)

Date	Open	High	Low	Close
Sep 10, 2025	~ US\$502.98	~ 503.23	~ 496.72	~ 500.37 (Investing.com)
Sep 9, 2025	~ US\$501.43	~ 502.25	~ 497.70	~ 498.41 (Investing.com)
Sep 8, 2025	~ US\$498.11	~ 501.20	~ 495.03	~ 498.20 (Investing.com)
Sep 5, 2025	~ US\$509.07	~ 511.97	~ 492.37	~ 495.00 (Investing.com)
Sep 4, 2025	~ US\$504.30	~ 508.15	~ 503.15	~ 507.97 (Investing.com)

ORCL DATA(Oracle Corporation)

Date	Open	High	Low	Close
Sep 10, 2025	~ US\$319.19	~ 345.72	~ 312.09	~ 328.33 (StockAnalysis)
Sep 9, 2025	~ US\$239.94	~ 243.49	~ 234.56	~ 241.51 (StockAnalysis)
Sep 8, 2025	~ US\$239.89	~ 242.42	~ 235.31	~ 238.48 (StockAnalysis)
Sep 5, 2025	~ US\$232.55	~ 234.62	~ 225.89	~ 232.80 (StockAnalysis)
Sep 4, 2025	~ US\$222.00	~ 223.57	~ 219.56	~ 223.00 (StockAnalysis)

IBM DATA(International Business Machines)

Date	Open	High	Low	Close
Sep 10, 2025	~ US\$259.65	~ 260.08	~ 254.56	~ 256.88 (Investing.com)
Sep 9, 2025	~ US\$256.12	~ 260.66	~ 254.88	~ 259.11 (Investing.com)
Sep 8, 2025	~ US\$248.63	~ 257.15	~ 247.02	~ 256.09 (Investing.com)
Sep 5, 2025	~ US\$248.23	~ 249.03	~ 245.45	~ 248.53 (Investing.com)
Sep 4, 2025	~ US\$245.42	~ 249.28	~ 242.85	~ 247.18 (Investing.com)

How to Buy a Stock (Open a Trade)

Choose a broker / trading platform

Examples: Fidelity, Charles Schwab, Robinhood, E*TRADE, Interactive Brokers, Zerodha (India), etc.

- **Make sure it's regulated in your country.**
 - **Open an account and complete KYC / identity verification.**
- 2. Deposit money**
Link your bank account, add funds into your brokerage account.
- 3. Search for the stock**
 - **Example: Type ticker MSFT (Microsoft) or GOOGL (Alphabet).**
- 4. Decide how you want to buy**
 - **Market order → Buys immediately at the current price.**
 - **Limit order → You set a price; order executes only if the stock reaches that price.**
 - **Stop order / stop-limit → Used to buy or sell once a trigger price is hit.**
- 5. Place the order**
Enter:
 - **Number of shares (or amount in \$ if your broker allows fractional shares).**
 - **Order type (market, limit).**
 - **Time-in-force (e.g., good-for-day, good-till-cancelled).**
- 6. Confirm → Once filled, you own the stock. 🎉**

How to Sell a Stock (Close a Trade)

- 1. Go to your portfolio → Select the stock you own.**
- 2. Choose "Sell".**
- 3. Pick order type (same as buying):**
 - **Market sell → Sells right away at best price.**
 - **Limit sell → Sells only at your chosen minimum price.**

- **Stop-loss** → Sells automatically if price falls to a certain level (risk management).

4. **Enter number of shares to sell.**
5. **Submit order** → Once executed, the stock is sold, and cash goes back into your brokerage account.

Buying a Trade (Example: Microsoft – MSFT)

1. **Open your broker app.**
2. **Search MSFT.**
3. **Tap Buy.**
4. **Enter how much you want (e.g., 1 share or \$100 if fractional).**
5. **Choose Market Order (executes right away).**
6. **Press Confirm** → You now own Microsoft stock. 

Selling a Trade

1. **Go to your Portfolio / Holdings.**
2. **Tap the stock (MSFT).**
3. **Tap Sell.**
4. **Enter how many shares to sell.**
5. **Choose Market Order (to sell immediately).**
6. **Press Confirm** → Stock sold, cash comes back to your account. 

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Technical / Market Knowledge

Q1. Explain the difference between futures and options.

A: A future is an obligation to buy/sell an asset at a set price on a future date, while an option gives the right but not the obligation. Futures have symmetric payoff, options are asymmetric (limited loss for buyer, unlimited gain).

Q2. How do market makers make money?

A: Primarily by capturing the bid-ask spread while managing inventory risk. The key is quoting tight spreads, hedging exposure quickly, and using models to price fairly relative to volatility and order flow.

Q3. What does volatility mean in trading?

A: It measures how much an asset's price fluctuates. High implied volatility means options are expensive, while realized volatility shows actual past movement. Traders arbitrage differences between the two.

Q4. How would you hedge a long stock position?

A: Buy a put option to protect downside, short futures on the index, or pair trade with a correlated stock (depending on cost and liquidity).

Q5. What's the difference between liquidity risk and market risk?

A: Market risk is exposure to price moves; liquidity risk is not being able to trade size at a fair price without moving the market.

◆ **Mental Math / Brain Teasers**

Q6. If a fair coin is flipped until it lands heads, what's the expected number of flips?

A: 2. (Geometric distribution: expectation = $1/p = 1/0.5 = 2$).

Q7. If an option's delta is 0.5 and you buy 100 contracts (each for 100 shares), what's your equivalent stock exposure?

A: $100 \times 100 \times 0.5 = 5,000$ 100 $\times$ 100 $\times$ 0.5 = 5,000 100 $\times$ 100 $\times$ 0.5 = 5,000 shares long.

Q8. You roll two dice — what's the probability the sum is 9?

A: Outcomes: (3,6), (4,5), (5,4), (6,3) $\rightarrow$ 4 out of 36 = $1/9 \approx 11.1\%$.

◆ **Behavioral / Fit**

Q9. Why do you want to be a trader?

A: I enjoy fast decision-making under uncertainty, analyzing patterns in data, and managing risk. Trading combines quantitative skills with psychology and discipline — a mix I thrive on.

Q10. Tell me about a time you took a risk.

A: (Best to give a structured STAR answer.) For example: *In university, I invested a small portfolio in a strategy I built. The risk was potential loss of savings, but I sized positions conservatively. The result was positive returns and a deeper understanding of risk management.*

Q11. What makes a good trader?

A: Discipline, risk management, adaptability, and probabilistic thinking. The best traders stick to process, cut losses quickly, and size bets appropriately.